the lower of cost and fair value at the date of transfer.

(1) In the first case, the market value of the investment is ₹ 25 lakhs, which is higher than its cost i.e. ₹ 20 lakhs. Therefore, the transfer to long term investments should be **carried at cost i.e. ₹ 20 lakhs**.

(2) In the second case, the market value of the investment is ₹ 6.5 lakhs, which is lower than its cost i.e. ₹ 15 lakhs. Therefore, the transfer to long term investments should be carried in the books at the market **value i.e. ₹ 6.5 lakhs. The loss of ₹ 8.5 lakhs should be charged to profit and loss account**.

As per AS 13 (Revised), where long-term investments are re-classified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer.

(3) In the third case, the book value of the investment is ₹ 12 lakhs, which is lower than its cost i.e. ₹ 18 lakhs. Here, the transfer should be at carrying amount and hence this re-classified current investment **should be carried at ₹ 12 lakhs.**

Question 22

Blue-chip Equity Investments Ltd., wants to re-classify its investments in accordance with AS 13 (Revised). State the values, at which the investments have to be reclassified in the following cases:

(i) Long term investments in Company A, costing ₹ 8.5 lakhs are to be re-classified as current. The company had reduced the value of these investments to ₹ 6.5 lakhs to recognise 'other than temporary' decline in value. The fair value on date of transfer is ₹ 6.8 lakhs.

(ii) Long term investments in Company B, costing ₹ 7 lakhs are to be re-classified as current. The fair value on date of transfer is ₹ 8 lakhs and book value is ₹ 7 lakhs.

(iii) Current investment in Company C, costing ₹ 10 lakhs are to be re-classified as long term as the company wants to retain them. The market value on date of transfer is ₹ 12 lakhs.

Answer

As per AS 13 (Revised) 'Accounting for Investments', where long-term investments are reclassified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer. And where investments are reclassified from current to long term, transfers are made at lower of cost and fair value on the date of transfer.

Accordingly, the re-classification will be done on the following basis:

(i) In this case, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be **carried at ₹ 6.5 lakhs** in the books.

(ii) The carrying/book value of the long-term investment is same as cost i.e. ₹ 7 lakhs. Hence this long-term investment will be reclassified as current investment **at book value of ₹ 7 lakhs only**.

(iii) In this case, reclassification of current investment into long-term investments will be made **at ₹ 10 lakhs** as cost is less than its market value of ₹ 12 lakhs.

Question 23

On 15th June, 20X2, Y limited wants to re-classify its investments in accordance with AS 13 (revised). Decide and state the amount of transfer, based on the following information:

(i) A portion of long-term investments purchased on 1st March, 20X1 are to be re-classified as current

investments. The original cost of these investments was ₹ 14 lakhs but had been written down by ₹ 2 lakhs (to recognise 'other than temporary' decline in value). The market value of these investments on 15th June, 20X2 was ₹ 11 lakhs.

(ii) Another portion of long-term investments purchased on 15th January, 20X1 are to be re-classified as current investments. The original cost of these investments was ₹ 7 lakhs but had been written down to ₹ 5 lakhs (to recognize 'other than temporary' decline in value). The fair value of these investments on 15th June, 20X2 was ₹ 4.5 lakhs.

(iii) A portion of current investments purchased on 15th March, 20X2 for ₹ 7 lakhs are to be re-classified as long term investments, as the company has decided to retain them. The market value of these investments on 31st March, 20X2 was ₹ 6 lakhs and fair value on 15th June 20X2 was ₹ 8.5 lakhs.

(iv) Another portion of current investments purchased on 7th December, 20X1 for ₹ 4 lakhs are to be re-classified as long term investments. The market value of these investments was:

on 31st March, 20X2	₹ 3.5 lakhs
on 15th June, 20X2	₹ 3.8 lakhs

Answer

As per AS 13 (Revised) 'Accounting for Investments', where long-term investments are reclassified as current investments, transfers are **made at the lower of cost and carrying amount** at the date of transfer; and where investments are reclassified from current to long term, transfers are made **at lower of cost and fair value** on the date of transfer.

Accordingly, the re-classification will be done on the following basis:

(i) In this case, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be **carried at ₹ 12 lakhs in the books**.

(ii) In this case also, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be **carried at ₹ 5 lakhs in the books.**

(iii) In this case, reclassification of current investment into long-term investments will be **made at ₹ 7 lakhs** as cost is less than its fair value of ₹ 8.5 lakhs on the date of transfer.

(iv) In this case, market value (considered as fair value) is ₹ 3.8 lakhs on the date of transfer which is lower than the cost of ₹ 4 lakhs. The reclassification of current investment into long-term investments will be **made at ₹ 3.8 lakhs.**

Question 24

The Investment portfolio of XYZ Ltd. as on 31.03.20X1 consisted of the following: **(₹ in lacs)**

Current Investments	**Cost**	**Fair Value as on 31.03.20X1**
(1) 1,000 Equity Shares of A Ltd.	5	7
(2) 500 Equity Shares of B Ltd.	10	15
(3) 1,000 Equity Shares of C Ltd.	15	12
Total	**30**	**34**

Give your comments on the following:

(i) The company wants to value the above portfolio at ₹ 30 lakhs being lower of cost or fair market value.

(ii) Company wants to transfer 1,000 Equity Shares of C Ltd. from current investments to long term investments on 31.03.20X1 at cost of ₹ 15 lakhs.

Answer

As per **AS 13** "Accounting for Investments", Valuation of current investments on overall (or global) basis is not considered appropriate. Sometimes, the concern of an enterprise may be with the value of a category of related current investments and not with each individual investment, and accordingly the investments may be carried at the lower of cost and fair value computed category-wise (i.e. equity shares, preference shares, convertible debentures, etc.). However, the more prudent and appropriate method is to carry investments individually at the lower of cost and fair value.

(i) Hence the company has to value the current investment at **₹ 27 Lacs** (A Ltd. shares at ₹ 5 lacs; B Ltd. shares at ₹ 10 lacs and C Ltd. shares at ₹ 12 lacs). The company's decision to value the portfolio at **₹ 30 lacs is not appropriate.**

(ii) Moreover, where investments are reclassified from current to long-term, transfers are made at the lower of cost and fair value at the date of transfer. Hence, company has to make transfer of 1,000 equity shares of C Ltd. **at ₹ 12 lacs** (fair value) and **not ₹ 15 lacs** (cost) as the fair value is less than cost.

CHAPTER - 14
AS 14: Accounting for Amalgamations

Calculation of Purchase Consideration (PC)

Question 1

A Ltd. take over B Ltd. on April 01, 20X1 and discharges consideration for the business as follows:

(i) Issued 42,000 fully paid equity shares of ₹ 10 each at par to the equity shareholders of B Ltd.

(ii) Issued fully paid up 15% preference shares of ₹ 100 each to discharge the preference shareholders (₹ 1,70,000) of B Ltd. at a premium of 10%.

(iii) It is agreed that the debentures of B Ltd. (₹ 50,000) will be converted into equal number and amount of 13% debentures of A Ltd.

Determine the amount of purchase consideration as per AS 14.

Answer

Particulars	**₹**
Equity Shares (42,000 x 10)	4,20,000
15% Preference Share Capital	1,70,000
Add: Premium on Redemption	17,000
Purchase Consideration	**6,07,000**

Note: As per AS 14, consideration for the amalgamation means the aggregate of the shares and other securities issued and the payment made in the form of cash or other assets by the transferee company to the shareholders of the transferor company. Thus, payment to debenture holders are not covered by the term 'consideration'.

Question 2

S Ltd. is absorbed by P Ltd. S ltd. gives the following information on the date of absorption:

Sundry Assets	13,00,000
Share capital:	
2,000 7% Preference shares of ₹ 100 each (fully paid-up)	2,00,000
5,000 Equity shares of ₹ 100 each (fully paid-up)	5,00,000
Reserves	3,00,000
6% Debentures	2,00,000
Trade payables	1,00,000

Additional information: P Ltd. has agreed:

(i) to issue 9% Preference shares of ₹ 100 each, in ratio of 3 shares of P Ltd. for 4 preference shares in S Ltd.

(ii) to issue to the debenture-holders in S Ltd. 8% Mortgage Debentures at ₹ 96 in lieu of 6% Debentures in S Ltd. which are to be redeemed at a premium of 20%;

(iii) to pay ₹ 20 per share in cash and to issue six equity shares of ₹ 100 each issued at the market value ₹ 125 in lieu of every five shares held in S Ltd.; and

(iv) to assume the liability to trade payables.

You are required to calculate the purchase consideration.

Answer

The purchase consideration will be:

	₹	Form
Preference shareholders: 2,000 x 3/4 x 100	1,50,000	9% Pref. shares
Equity shareholders: 5,000 x 20	1,00,000	Cash
5,000 x 6/5 x 125	7,50,000	Equity shares
	10,00,000	

Note:

1. According to AS 14, 'consideration' exclude amount payable to debenture-holders. The liability in respect of debentures of S Ltd. will be taken by P Ltd., which will then be settled by issuing new 8% debentures.
2. The issue of the equity shares is done at ₹ 125 (market value) as it has been mentioned in the question. The face value shall not be considered for this purpose.

Question 3

Astha Ltd. is absorbed by Nistha Ltd.; the consideration being the takeover of liabilities, the payment of cost of absorption not exceeding ₹ 10,000 (actual cost ₹ 9,000); the payment of the 9% debentures of ₹ 50,000 at a premium of 20% through 8% debentures issued at a premium of 25% of face value and the payment of ₹ 15 per share in cash and allotment of three 11% preference shares of ₹ 10 each and four equity shares of ₹ 10 each at a premium of 20% fully paid for every five shares in Astha Ltd.

The number of shares of the vendor company are 1,50,000 of ₹ 10 each fully paid. Calculate purchase consideration as per AS 14.

Answer

As per AS 14 'Accounting for Amalgamations', the term 'consideration' has been defined as the aggregate of the shares and other securities issued and the payment made in the form of cash or other assets by the transferee company to the shareholders of the transferor company.

The payment made by transferee company to discharge the Debenture holders and outside liabilities and cost of winding up of transferor company shall not be considered as part of purchase consideration.

Computation of Purchase Consideration

	₹
Cash payment [₹ 15 x 1,50,000]	22,50,000
11% Preference Shares of ₹ 10 each [(1,50,000 x 3/5) x ₹ 10]	9,00,000
Equity shares of ₹ 10 each @ 20% premium [(1,50,000 x 4/5) x ₹ 12]	14,40,000
Total Purchase consideration	**45,90,000**

Question 4

Let us consider the Balance Sheet of X Ltd. as at 31st March, 20X1:

Particulars			Note No.	₹ (000)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	100,00
	(b)	Reserves and Surplus	2	12,50
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	40,00
3		**Current liabilities**		
	(a)	Trade Payables		20,00
		Total		**172,50**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	105,50
	(b)	Non-current investment	5	5,00
2		**Current Assets**		
	(a)	Inventories		23,00
	(b)	Trade receivables		24,00
	(c)	Cash and Cash equivalents		15,00
		Total		**172,50**

Notes to accounts

S. No.		₹ in ('000)
1	**Share Capital**	
	7,50,000 Equity Shares of ₹ 10 each	75,00
	25,000 14% Preference Shares of ₹ 100 each	25,00
		100,00
2	**Reserves and Surplus**	
	General reserve	12,50
3	**Long-term borrowings**	
	Secured	
	14% Debentures	40,00
4	**Property, plant and Equipment**	
	Land and Building	50,00
	Plant and machinery	45,00
	Furniture	10,50
		105,50
5	**Non-current investments**	
	Investments at cost	5,00

Other Information:

(i) Y Ltd. takes over X Ltd. on 10th April, 20X1.

(ii) Debenture holders of X Ltd. are discharged by Y Ltd. at 10% premium by issuing 15% own debentures of Y Ltd.

(iii) 14% Preference Shareholders of X Ltd. are discharged at a premium of 20% by issuing necessary number of 15% Preference Shares of Y Ltd. (Face value ₹ 100 each).

(iv) Intrinsic value per share of X Ltd. is ₹ 20 and that of Y Ltd. ₹ 30. Y Ltd. will issue equity shares to satisfy the equity shareholders of X Ltd. on the basis of intrinsic value. However, the entry should be made at par value only. The nominal value of each equity share of Y Ltd. is ₹ 10.

Compute the purchase consideration.

Answer

	₹	Form
For Preference Shareholders of X Ltd.	3,000	30,000 15% Pref. shares in Y Ltd.
For equity shareholders of X Ltd. [(20/30 x 7,50,000) x ₹ 10]	5,000	5,00,000 Equity shares in Y Ltd.
	8,000	

Note: According to AS 14, amount paid to the debenture holders should not be included in the purchase consideration calculation. Such debentures will be taken over by Y Ltd. and then discharged by them later.

Question 5

The following is the summarized Balance Sheet of 'A' Ltd. as on 31.3.20X1:

Liabilities	**₹**	**Assets**	**₹**
14,000 Equity shares of ₹ 100 each	14,00,000	Sundry assets	18,00,000
General reserve	10,000		
10% Debentures	2,00,000		
Trade payables	1,40,000		
Bank overdraft	50,000		
	18,00,000		**18,00,000**

B Ltd. agreed to take over the business of 'A' Ltd. Calculate purchase consideration under Net Assets method on the basis: Market value of 75% of the sundry assets is estimated to be 12% more than the book value and that of the remaining 25% at 8% less than the book value. The liabilities are taken over at book values. There is an unrecorded liability of ₹ 25,000.

Answer

Calculation of Purchase Consideration under Net Assets Method

	₹	₹
Sundry assets		
18,00,000 x 75/100 x 112%	15,12,000	
18,00,000 x 25/100 x 92%	4,14,000	19,26,000
Less: Liabilities:		
10% Debentures	2,00,000	
Trade payables	1,40,000	

Bank overdraft	50,000	
Unrecorded liability	25,000	(4,15,000)
Purchase consideration		**15,11,000**

Question 6

Following is the balance sheet of A Ltd. as on 31st March, 20X1

Particulars			**Note No.**	**₹ (000)**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	22,50
	(b)	Reserves and Surplus	2	9,00
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	7,00
3		**Current liabilities**		
	(a)	Trade Payables		5,00
		Total		**43,50**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	32,50
	(b)	Non-current investment	5	6,00
2		**Current Assets**		
	(a)	Inventories		2,00
	(b)	Trade receivables		2,00
	(c)	Cash and Cash equivalents		1,00
		Total		**43,50**

Notes to accounts

S. No.		**₹ in ('000)**
1	**Share Capital**	
	1,50,000 Equity Shares of ₹ 10 each	15,00
	7,500 14% Preference Shares of ₹ 100 each	7,50
		22,50
2	**Reserves and Surplus**	
	General reserve	9,00
3	**Long-term borrowings**	
	Secured	
	15% Debentures	7,00
4	**Property, plant and Equipment**	
	Land and Building	32,50

5	**Non-current investments**	
	Investments at cost	6,00

B Ltd. agreed to take over the assets and liabilities on the following terms and conditions:

(a) Discharge 15% debentures at a premium of 10% by issuing 15% debentures of B Ltd.

(b) PPE at 10% above the book value and investments at par value.

(c) Current assets at a discount of 10% and Current liabilities at book value.

(d) Preference shareholders are discharged at a premium of 10% by issuing 15% preference shares of ₹ 100 each.

(e) Issue 3 equity shares of ₹ 10 each for every 2 equity shares in B Ltd. and pay the balance in cash.

Calculate Purchase consideration.

Answer

Calculation of Purchase Consideration (Net Asset value Method)

Particulars		**(₹ in '000's)**
Value of assets taken over:		
Property, Plant and Equipment		35,75
Non-Current Investments		6,00
Current Assets		4,50
Total Assets	**(A)**	**46,25**
Less: Liabilities taken over:		
15% Debentures		7,70
Current Liabilities		5,00
Total Liabilities	**(B)**	**12,70**
Purchase consideration	**(A – B)**	**33,55**
Mode of Purchase Consideration		
In the form of 15% Preference shares		8,25
In the form of Equity shares		22,50
In the form of Cash (Balance)		2,80
Total		**33,55**

Accounting for Amalgamation in Nature of Purchase [In Books of Selling Company]

Question 7

The following are the Balance Sheets of X Ltd. and Y Ltd.:

Particulars			**Notes**	**X Ltd. (₹)**	**Y Ltd. (₹)**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	1,00,000	50,000
	(b)	Reserve and surplus	2	10,000	(10,000)

2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	–	15,000
3		**Current liabilities**			
	(a)	Trade Payables		25,000	5,000
		Total		**1,35,000**	**60,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		1,20,000	60,000
	(b)	Non-current investment	4	15,000	–
		Total		**1,35,000**	**60,000**

Notes to accounts

S. No.	Particulars	X Ltd. (₹)	Y Ltd. (₹)
1	**Share Capital**		
	Equity share capital	1,00,000	50,000
		1,00,000	**50,000**
2	**Reserves and Surplus**		
	Profit and loss A/c	10,000	–
	Profit and loss A/c (debit balance)	–	(10,000)
		10,000	**(10,000)**
3	**Long term borrowings**		
	Loan from X Ltd.	–	**15,000**
4	**Non-current investments**		
	Loan to Y Ltd.	**15,000**	–

A new company XY Ltd. is formed to acquire the PPE and trade payables of X Ltd. and Y Ltd. and for this purpose, the PPE of X Ltd. are revalued at ₹ 1,00,000. The debt due to X Ltd. is also to be discharged in shares of XY Ltd.

Show the Ledger Accounts to close the books of X Ltd.

Answer

Books of X Ltd.

Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets	1,20,000	By Trade payables	25,000
		By XY Ltd. (Purchase consideration)	75,000
		By Shareholders (Loss on realization)	20,000
	1,20,000		**1,20,000**

Shareholders Account

Particulars	₹	Particulars	₹
To Realization Account (Loss)	20,000	By Equity Share Capital	1,00,000

To Shares in XY Ltd.	90,000	By Profit and Loss Account	10,000
	1,10,000		**1,10,000**

Loan to Y Ltd.

Particulars	**₹**	**Particulars**	**₹**
To balance b/d	15,000	By Shares in XY Ltd.	15,000
	15,000		**15,000**

Shares in XY Ltd.

Particulars	**₹**	**Particulars**	**₹**
To XY Ltd.	75,000	By Shareholders	90,000
To Loan to Y Ltd.	15,000		
	90,000		**90,000**

XY Ltd.

Particulars	**₹**	**Particulars**	**₹**
To Realization Account	75,000	By Shares in XY Ltd.	75,000
	75,000		**75,000**

Question 8

Wye Ltd. acquires the business of Zed Ltd. whose balance sheet as at 31st March, 20X1 is as under:

Particulars			**Notes**	**₹**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,00,000
	(b)	Reserve and surplus	2	1,58,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,00,000
3		**Current liabilities**		
	(a)	Trade Payables		1,20,000
	(b)	Other Current Liabilities (Interest payable on debentures)		12,000
		Total		**16,90,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	4	10,00,000
		ii Intangible Asset	5	2,90,000
	(b)	Non-current investments		
2		**Current Assets**		
	(a)	Inventory		1,50,000
	(b)	Trade receivables		1,80,000

	(c)	Cash and Cash equivalents		70,000
		Total		**16,90,000**

Notes to accounts:

		₹
1	**Share Capital**	
	Equity Share capital (₹ 100 each)	8,00,000
	6% Preference Share capital (₹ 100 each)	4,00,000
		12,00,000
2	**Reserves and Surplus**	
	Capital reserve	1,00,000
	Profit and loss A/c	50,000
	Workmen compensation reserve (Expected liability ₹ 5,000)	8,000
		1,58,000
3	**Long-term borrowings**	
	6% Debentures	2,00,000
		2,00,000
4	**Property, Plant and Equipment**	
	Land and Building	4,00,000
	Plant and machinery	6,00,000
		10,00,000
5	**Intangible assets**	
	Goodwill	2,40,000
	Patents	50,000
		2,90,000

Wye Ltd. was to take over all assets (except cash) and liabilities (except for interest due on debentures) and to pay following amounts:

(i) ₹ 2,00,000 7% Debentures (₹ 100 each) in Wye Ltd. for the existing debentures in Zed Ltd.; for the purpose, each debenture of Wye Ltd. is to be treated as worth ₹ 105.

(ii) For each preference share in Zed Ltd. ₹ 10 in cash and one 9% preference share of ₹ 100 each in Wye Ltd.

(iii) For each equity share in Zed Ltd. ₹ 20 in cash and one equity share in Wye Ltd. of ₹ 100 each having the market value of ₹ 140.

(iv) Expense of liquidation of Zed Ltd. are to be reimbursed by Wye Ltd. to the extent of ₹ 10,000. Actual expenses amounted to ₹ 12,500.

(v) Wye Ltd. valued Land and building at ₹ 5,50,000 Plant and Machinery at ₹ 6,50,000 and patents at ₹ 20,000 of Zed Ltd for the purpose of amalgamation.

Pass journal entries to close the books of Zed ltd.

Answer

Purchase Consideration

	₹	₹	Form
(i) Preference Shares:			
₹ 10 per share	40,000		Cash
Preference shares	4,00,000	4,40,000	Preference shares
(ii) Equity shares:			
₹ 20 per share	1,60,000		Cash
8,000 equity shares in Wye Ltd. @ ₹ 140	11,20,000	12,80,000	Equity shares
		17,20,000	

Journal Entries in the Books of Zed Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Realization A/c	Dr.	16,20,000	
Apr. 1	To Goodwill A/c			2,40,000
	To Land & Building A/c			4,00,000
	To Plant & Machinery A/c			6,00,000
	To Patents A/c			50,000
	To Inventory A/c			1,50,000
	To Trade receivables A/c			1,80,000
	(Transfer of assets to Realization A/c on sale of business to Wye Ltd.)			
	6% Debentures	Dr.	2,00,000	
	Workmen's Compensation Reserve	Dr.	5,000	
	Trade payables	Dr.	1,20,000	
	To Realization A/c			3,25,000
	(Transfer of liabilities taken over by Wye Ltd. to Realization A/c)			
	Wye Ltd.	Dr.	17,20,000	
	To Realization A/c			17,20,000
	(Amount receivable from Wye Ltd. for sale of business)			
	Cash	Dr.	2,00,000	
	9% Preference shares in Wye Ltd.	Dr.	4,00,000	
	Equity shares in Wye Ltd.	Dr.	11,20,000	
	To Wye Ltd. A/c			17,20,000
	(Receipt of purchase consideration from the purchase company)			
	Wye Ltd.	Dr.	10,000	
	Realization A/c	Dr.	2,500	
	To Cash A/c			12,500
	(Liquidation expenses out of which ₹ 10,000 is payable by Wye Ltd.)			
	Cash A/c	Dr.	10,000	
	To Wye Ltd. A/c			10,000
	(Account reimbursed by Wye Ltd. for expense)			
	Interest Outstanding	Dr.	12,000	
	To Debenture holder's A/c			12,000

(Amount due to debenture holders for debentures interest)			
Debenture holder's A/c	Dr.	12,000	
To Cash A/c			12,000
(Debenture holders paid cash ₹ 12,000 for outstanding interest)			
6% Pref. Share Capital A/c	Dr.	4,00,000	
Realization A/c	Dr.	40,000	
To Preference Shareholders A/c			4,40,000
(The amount due to preference shareholders for capital and the extra amount payable under the scheme of absorption)			
Preference Shareholders A/c	Dr.	4,40,000	
To Cash A/c			40,000
To 9% Preference shares in Wye Ltd. A/c			4,00,000
(Cash & preference shares in Wye Ltd. given to preference shareholders)			
Equity Share Capital A/c	Dr.	8,00,000	
Capital Reserve A/c	Dr.	1,00,000	
Profit and Loss A/c	Dr.	50,000	
Workmen's Compensation Reserve A/c	Dr.	3,000	
Realization A/c	Dr.	3,82,500	
To Equity Shareholders A/c			13,35,500
(Various A/c representing capital and profit t/f to Equity Shareholders A/c)			
Equity Shareholders A/c	Dr.	13,35,500	
To Equity Shares in Wye Ltd. A/c			11,20,000
To Cash A/c (W.N.2)			2,15,500
(Being final payment made to Equity Shareholders)			

Working Notes

1. Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets	16,20,000	By Sundry Liabilities	3,25,000
To Cash (excess expenses of liquidation)	2,500	By Wye Ltd.	17,20,000
To Preference Shareholders	40,000		
To Equity Shareholders (profit transferred)	3,82,500		
	20,45,000		**20,45,000**

2. Cash Account

Particulars	₹	Particulars	₹
To Balance b/d	70,000	By Realization	2,500
To Wye Ltd. (consideration for amalgamation)	2,00,00	By Wye Ltd.	10,000
To Wye Ltd. (liquidation expenses reimbursed)	10,000	By Debenture-holders	12,000
		By Preference shareholder	40,000
		By Equity Shareholder (B/f)	2,15,500
	2,80,000		**2,80,000**

Question 9

K Ltd. and L Ltd. amalgamate to form a new company LK Ltd. The financial position of these two companies as at the date of amalgamation was as under:

Particulars			Notes	₹ K Ltd.	₹ L Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	12,00,000	6,00,000
	(b)	Reserve and surplus	2	3,71,375	1,97,175
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	2,00,000	2,00,000
3		**Current liabilities**			
	(a)	Trade Payables		1,00,000	2,10,000
		Total		**18,71,375**	**12,07,175**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	11,30,000	8,20,000
		ii Intangible assets	5	80,000	–
2		**Current Assets**			
	(a)	Inventories		2,25,000	1,40,000
	(b)	Trade receivables		2,75,000	1,75,000
	(c)	Cash and Cash equivalents	6	1,61,375	72,175
		Total		**18,71,375**	**12,07,175**

Notes to accounts

S. No.	Particulars	K Ltd.	L Ltd.
1	**Share Capital**		
	Equity shares of ₹ 100 each	8,00,000	3,00,000
	7% Preference Shares of ₹ 100 each	4,00,000	3,00,000
		12,00,000	**6,00,000**
2	**Reserves and Surplus**		
	General reserve	–	1,00,000
	Profit and loss account	3,71,375	97,175
		3,71,375	**1,97,175**
3	**Long-term borrowings**		
	5% Debentures	2,00,000	–
	Secured loan	–	2,00,000
		2,00,000	**2,00,000**
4	**Property, plant and Equipment**		
	Land and Building	4,50,000	3,00,000
	Plant and machinery	6,20,000	5,00,000

	Furniture and fittings	60,000	20,000
		11,30,000	**8,20,000**
5	**Intangible assets**		
	Goodwill	80,000	–
		80,000	–
6	**Cash and Cash Equivalents**		
	Cash at Bank	1,20,000	55,000
	Cash in hand	41,375	17,175
		1,61,375	**72,175**

The terms of amalgamation are as under:

(a) (i) The assumption of liabilities of both the Companies.

(ii) Issue of 5 Preference shares of ₹ 20 each in LK Ltd. @ ₹ 18 paid up at premium of ₹ 4 per share for each preference share held in both the Companies.

(iii) Issue of 6 Equity shares of ₹ 20 each in LK Ltd. @ ₹ 18 paid up at a premium of ₹ 4 per share for each equity share held in both the Companies. In addition, necessary cash should be paid to the Equity Shareholders of both the Companies as is required to adjust the rights of shareholders of both the Companies in accordance with the intrinsic value of the shares of both the Companies.

(iv) Issue of such amount of fully paid 6% debentures in LK Ltd. as is sufficient to discharge the 5% debentures in K Ltd. at a discount of 5% after takeover.

(b) (i) The assets and liabilities are to be taken at book values inventory and trade receivables for which provisions at 2% and 2½ % respectively to be raised.

(ii) The trade receivables of K Ltd. include ₹ 20,000 due from L Ltd.

(c) The LK Ltd. is to issue 15,000 new equity shares of ₹ 20 each, ₹ 18 paid up at premium of ₹ 4 per share so as to have sufficient working capital.

Prepare ledger accounts in the books of K Ltd. and L Ltd. to close their books.

Answer

Books of K Ltd.

Realization Account

Particulars	**₹**	**Particulars**	**₹**
To Goodwill	80,000	By 5% Debentures	2,00,000
To Land & Building	4,50,000	By Trade payables	1,00,000
To Plant & Machinery	6,20,000	By LK Ltd. (Purchase consideration)	15,60,000
To Furniture & Fitting	60,000	By Equity shareholders A/c (loss)	51,375
To Trade receivables	2,75,000		
To Stores & inventory	2,25,000		
To Cash at Bank	1,20,000		
To Cash in hand	41,375		
To Pref. shareholders (excess paid)	40,000		
	19,11,375		**19,11,375**

Equity Shareholders Account

Particulars	₹	Particulars	₹
To Realization A/c (loss)	51,375	By Share capital	8,00,000
To Equity Shares in LK Ltd.	10,56,000	By Profit & Loss A/c	3,71,375
To Cash	64,000		
	11,71,375		**11,71,375**

7% Preference Shareholders Account

Particulars	₹	Particulars	₹
To Preference Shares in LK Ltd.	4,40,000	By Share capital	4,00,000
		By Realization A/c	40,000
	4,40,000		**4,40,000**

LK Ltd. Account

Particulars	₹	Particulars		₹
To Realization A/c	15,60,000	By Shares in LK Ltd.		
		For Equity	10,56,000	
		For Preference	4,40,000	14,96,000
		By Cash		64,000
	15,60,000			**15,60,000**

Books of L Ltd.

Realization Account

Particulars	₹	Particulars	₹
To Land & Building	3,00,000	By Trade payables	2,10,000
To Plant & Machinery	5,00,000	By Secured loan	2,00,000
To Furniture & Fittings	20,000	By LK Ltd. (Purchase consideration)	7,90,000
To Trade receivables	1,75,000	By Equity shareholders A/c (Loss)	37,175
To Inventory of stores	1,40,000		
To Cash at bank	55,000		
To Cash in hand	17,175		
To Preference shareholders	30,000		
	12,37,175		**12,37,175**

Equity Shareholders Account

Particulars	₹	Particulars	₹
To Equity shares in LK Ltd.	3,96,000	By Share Capital	3,00,000
To Realization	37,175	By Profit & Loss A/c	97,175
To Cash	64,000	By Reserve	1,00,000
	4,97,175		**4,97,175**

7% Preference Shareholders Account

Particulars	₹	Particulars	₹

To Preference Shares in LK Ltd.	3,30,000	By Share capital	3,00,000
		By Realization A/c	30,000
	3,30,000		**3,30,000**

LK Ltd. Account

Particulars	**₹**	**Particulars**		**₹**
To Realization A/c	7,90,000	By shares in LK Ltd.		3,00,000
		For Equity	3,96,000	
		For Preference	3,30,000	7,26,000
		By Cash		64,000
	7,90,000			**7,90,000**

Working Notes:

	Particulars		**K Ltd.**	**L Ltd.**
(i)	**Mode of payment of Purchase consideration:**			
	Payable to preference shareholders:			
	Preference shares at ₹ 22 per share		4,40,000	3,30,000
	Payable to equity shareholders:			
	Equity Shares at ₹ 22 per share		10,56,000	3,96,000
	Cash [See W.N. (ii)]		64,000	64,000
			15,60,000	**7,90,000**
(ii)	**Computation of Purchase consideration (Value of Net Assets)**			
	Goodwill		80,000	–
	Land & Building		4,50,000	3,00,000
	Plant & Machinery		6,20,000	5,00,000
	Furniture & Fittings		60,000	20,000
	Trade receivables less 2.5%		2,68,125	1,70,625
	Inventory less 2%		2,20,500	1,37,200
	Cash at Bank		1,20,000	55,000
	Cash in hand		41,375	17,175
	Total	**(A)**	**18,60,000**	**12,00,000**
	Debentures		2,00,000	–
	Trade payables		1,00,000	2,10,000
	Secured Loans		–	2,00,000
	Total	**(B)**	**3,00,000**	**4,10,000**
	Purchase consideration (Net Asset)	**(A – B)**	**15,60,000**	**7,90,000**
	Payable in shares		14,96,000	7,26,000
	Payable in cash		64,000	64,000

Accounting for Amalgamation in Nature of Purchase [In Books of Purchasing Company]

Question 10

On 1st April, 20X1, Tina Ltd. take over the business of Rina Ltd. and discharged purchase consideration as follows:

(i) Issued 50,000 fully paid Equity shares of ₹ 10 each at a premium of ₹ 5 per share to the equity shareholders of Rina Ltd.

(ii) Cash payment of ₹ 50,000 was made to equity shareholders of Rina Ltd.

(iii) Issued 2,000 fully paid 12% Preference shares of ₹ 100 each at par to discharge the preference shareholders of Rina Ltd.

(iv) Debentures of Rina Ltd. 20,000 will he converted into equal number and amount of 10% debentures of Tina Ltd.

Calculate the amount of Purchase consideration as per AS-14 and pass Journal Entry relating to discharge of purchase consideration in the books of Tina Ltd.

Answer

As per AS 14, consideration for amalgamation means aggregate of shares and other securities issued and the payment made in form of cash or other assets by transferee company to shareholders of transferor company.

Computation of Purchase Consideration

Particulars	**₹**
Equity Shares (50,000 x 15)	7,50,000
Cash payment	50,000
12% Preference Share Capital	2,00,000
Purchase Consideration	**10,00,000**

Note: Payment to debenture holders are not covered by the term 'consideration'.

Journal entry

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Liquidation of Rina Ltd. A/c	Dr.	10,00,000	
	To Equity share capital A/c			5,00,000
	To 12% Preference share capital A/c			2,00,000
	To Securities Premium A/c			2,50,000
	To Bank/Cash A/c			50,000
	(Being payment of cash and issue of shares for discharge of purchase consideration)			

Question 11

A Ltd. and B Ltd. were amalgamated on and from 1st April, 20X1. A new company C Ltd. was formed to take over the business of the existing companies. A Ltd. and B Ltd. have the following ledger balances as on 31st March, 20X1:

	A Ltd. (₹ in lakhs)	B Ltd. (₹ in lakhs)

Land and Building	550	400
Plant and Machinery	350	250
Investments (Non-current)	150	50
Inventory	350	250
Trade Receivables	300	350
Cash and Bank	300	200
Share Capital:		
Equity Shares of ₹ 100 each	800	750
12% Preference shares of ₹ 100 each	300	200
Reserves and Surplus:		
Revaluation Reserve	150	100
General Reserve	170	150
Investment Allowance Reserve	50	50
Profit and Loss Account	50	30
Secured Loans:		
10% Debentures (₹ 100 each)	60	30
Trade Payables	420	190

Additional Information:

(1) 10% Debenture holders of A Ltd. and B Ltd. are discharged by C Ltd. issuing such number of its 15% Debentures of ₹ 100 each so as to maintain the same amount of interest.

(2) Preference shareholders of the two companies are issued equivalent number of 15% preference shares of C Ltd. at a price of ₹ 150 per share (face value of ₹ 100).

(3) C Ltd. will issue 5 equity shares for each equity share of A Ltd. and 4 equity shares for each equity share of B Ltd. The shares are to be issued @ ₹ 30 each, having a face value of ₹ 10 per share.

(4) Investment allowance reserve is to be maintained for 4 more years.

Prepare the Balance Sheet of C Ltd. as on 1st April, 20X1 after the amalgamation has been carried out on the basis of Amalgamation in the nature of purchase.

Answer

Balance Sheet of C Ltd. as at 1st April, 20X1

Particulars			Note No.	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,200
	(b)	Reserves and Surplus	2	1,650
2		**Non current liabilities**		
	(a)	Long-term borrowings	3	60
3		**Current liabilities**		
	(a)	Trade Payables	4	610
		Total		**3,520**

		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	1,550
		ii Intangible asset	6	20
	(b)	Non current investment	7	200
2		**Current Assets**		
	(a)	Inventories (350 + 250)		600
	(b)	Trade receivables	8	650
	(c)	Cash and Cash equivalents (300 + 200)		500
		Total		**3,520**

Notes to Accounts

S. No.	Particulars	₹ in lakhs
1	**Share Capital**	
	Equity share capital (W.N.1)	
	70,00,000 Equity shares of ₹ 10 each	700
	5,00,000 Preference shares of ₹ 100 each	500
	(all the above shares are allotted as fully paid-up pursuant to contracts without payment being received in cash)	
		1,200
2	**Reserves and surplus**	
	Securities Premium Account (W.N.4) (950 + 700)	1,650
	Investment Allowance Reserve (50 + 50)	100
	Amalgamation Adjustment Reserve (50 + 50)	(100)
		1,650
3	**Long-term borrowings**	
	15% Debentures	**60**
4	**Trade payables** (420 + 190)	**610**
5	**Property, Plant and Equipment**	
	Land and Building (550 + 400)	950
	Plant and Machinery (350 + 250)	600
		1,550
6	**Intangible assets**	
	Goodwill [W.N. 3] (110 – 90)	**20**
7	**Non-current Investments**	
	Investments (150 + 50)	**200**
8	**Trade receivables** (300 + 350)	**650**

Working Notes: **₹ in lakhs**

S. No.	Particulars	A Ltd.	B Ltd.
1	**Computation of Purchase consideration**		

	Preference shareholders	450	300
	Equity shareholders	1,200	900
		1,650	**1,200**
2	**Net Assets Taken Over**		
	Assets taken over:		
	Land and Building	550	400
	Plant and Machinery	350	250
	Investments	150	50
	Inventory	350	250
	Trade receivables	300	350
	Cash and bank	300	200
	Total (A)	**2,000**	**1,500**
	Less: Liabilities taken over:		
	Debentures	40	20
	Trade payables	420	190
	Total (B)	**460**	**210**
	Net Asset (A – B)	**1,540**	**1,290**
3	**Calculation of goodwill or capital reserve**		
	Purchase consideration	1,650	1,200
	Net asset	1,540	1,290
	Goodwill (Purchase consideration more than net asset)	**110**	
	Capital reserve (Net asset more than Purchase consideration)		**90**
4	**Computation of securities premium**		
	On preference share capital:		
	A Ltd. – 3,00,000 x 50	150	
	B Ltd. – 2,00,000 x 50		100
	On equity share capital:		
	A Ltd. – 40,00,000 x 20	800	
	B Ltd. – 30,00,000 x 20		600
	Total	**950**	**700**

Question 12

Meet Ltd. and Preet Ltd. were amalgamated on and from 1st April, 20X1. A new company Heer Ltd. was formed to take over the business of the existing companies. The Balance Sheets of Meet Ltd. and Preet Ltd. as at 31st March, 20X1 are given below: **(₹ in Lakhs)**

Particulars			**Notes**	**Meet Ltd.**	**Preet Ltd.**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	3,300	2,850
	(b)	Reserve and surplus	2	1,260	990

2		**Non-current liabilities**			
	(a)	Long-term borrowings (10% Debentures of ₹ 100 each)		180	90
3		**Current liabilities**			
	(a)	Trade Payables		1,260	570
		Total		**6,000**	**4,500**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		2,700	1,950
	(b)	Non-current investment		450	150
		Current Assets			
	(a)	Inventories		1,050	750
	(b)	Trade receivables		900	1,050
	(c)	Cash and Cash equivalents		900	600
		Total		**6,000**	**4,500**

Notes to accounts **(₹ in lakhs)**

S. No.	Particulars	Meet Ltd.	Preet Ltd.
1	**Share Capital**		
	Equity Shares of ₹ 100 each	2,400	2,250
	14% Preference Shares of ₹ 100 each	900	600
	Total	**3,300**	**2,850**
2	**Reserves and Surplus**		
	Revaluation Reserve	150	150
	General Reserve	510	450
	Investment Allowance Reserve	450	300
	Profit and Loss Account	150	90
	Total	**1,260**	**990**

Additional Information:

(1) Heer Limited will issue 5 equity shares for each equity share of Meet Limited and 4 equity shares for each equity share of Preet Limited. The shares are to be issued @ ₹ 35 each having a face value of ₹ 10 per share.

(2) Preference shareholders of the two companies are issued equivalent number of 16% preference shares of Heer Limited at a price of ₹ 160 per share (face value ₹ 100).

(3) 10% Debenture holders of Meet Limited and Preet Limited are discharged by Heer Limited, issuing such number of its 16% Debentures of ₹ 100 each so as to maintain the same amount of interest.

(4) Investment allowance reserve is to be maintained for 4 more years.:

(5) Liquidation expenses are for Meet Limited ₹ 12,00,000 and for Preet Limited ₹ 6,00,000. It is decided that these expenses would be borne by Heer Limited.

(6) All the assets and liabilities of Meet Limited and Preet Limited are taken over at book value.

(7) Authorised equity share capital of Heer Limited is ₹ 30,00,00,000 divided into equity shares of ₹ 10 each.

After issuing required number of shares to the liquidators of Meet Limited and Preet Limited, Heer Limited issued balance shares to public. The issue was fully subscribed.

You are required to prepare Balance Sheet of Heer Limited as at 1st April, 20X1 after amalgamation has been carried out on the basis of Amalgamation in the nature of purchase.

Answer

Balance Sheet of Heer Ltd. as at 1st April 20X1

Particulars			Notes	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	4,500
	(b)	Reserve and surplus	2	8,400
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	168.75
3		**Current liabilities**		
	(a)	Trade Payables	4	1,830
		Total		**14,898.75**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	4,650
		ii Intangible Asset	6	1,266.75
	(b)	Non-current investments	7	600
2		**Current Assets**		
	(a)	Inventory	8	1,800
	(b)	Trade receivables	9	1,950
	(c)	Cash and Cash equivalents	10	4,632
		Total		**14,898.75**

Notes to accounts

S. No.	Particulars	(₹ in Lakhs)	(₹ in Lakhs)
1.	**Share Capital**		
	Authorized Share Capital:		
	a) Equity Share Capital		
	300 Lakhs equity shares of ₹ 10 each		3,000
	b) Preference Share Capital		
	15 Lakhs Preference shares of ₹ 100		1,500
			4,500
	Issued, Subscribed & Paid-up Capital:		
	a) Equity Share Capital		
	300 Lakhs equity shares of ₹ 10 each		3,000

	(Out of above 210 lakhs of equity shares are issued for consideration other than cash)		
	b) Preference Share Capital		
	15 Lakhs Preference shares of ₹ 100		1,500
	(All shares are issued for consideration other than cash)		
			4,500
2.	**Reserves and Surplus**		
	Investments allowances reserves (450 + 300)		750
	Securities premium (300 x 25) + (15 x 60)		8,400
	Less: Amalgamation adjustment reserve		(750)
	Total		**8,400**
3.	**Long-term borrowings**		
	16% Debentures		**1,68.75**
4.	**Trade payables**		
	Meet Ltd.	1,260	
	Preet Ltd.	570	**1,830**
5.	**PPE**		
	Land and Building	2,700	
	Plant and Machinery	1,950	**4,650**
6.	**Intangible assets**		
	Goodwill [W.N. 2]	1248.75	
	Add: Liquidation exp. (12 + 6)	18	**1,266.75**
7.	**Non-current Investments**		
	Investments (450 + 150)		**600**
8.	**Inventories**		
	Meet Ltd.	1,050	
	Preet Ltd.	750	**1,800**
9.	**Trade receivables**		
	Meet Ltd.	900	
	Preet Ltd.	1,050	**1,950**
10.	**Cash & cash equivalents**		
	Meet Ltd.	900	
	Preet Ltd.	600	
	Liquidation Expenses (12 + 6)	(18)	
	Share issued for cash (90 lakh shares x ₹ 35)	3,150	**4,632**

Working Notes:

1. Calculation of Purchase Consideration: **(₹ in lakhs)**

	Particulars	**Meet Ltd.**	**Preet Ltd.**
A.	**Preference Shareholders:**		
	[9,00,00,000 x ₹ 160]/100	1,440	

	[6,00,00,000 x ₹ 160]/100		960
B.	**Equity Shareholders:**		
	[24,00,00,000 x 5 x ₹ 35]/100	4,200	
	[22,50,00,000 x 4 x ₹ 35]/100		3,150
C.	**Purchase Consideration (A + B)**	**5,640**	**4,110**

2. Net Assets (Calculation of goodwill) **(₹ in lakhs)**

	Particulars	**Meet Ltd**	**Preet Ltd**
A	Assets taken over:		
	Property Plant & Equity	2,700	1,950
	Non-Current Investments	450	150
	Inventory	1,050	750
	Trade receivables	900	1,050
	Cash and bank	900	600
		6,000	**4,500**
B	Liabilities taken over:		
	10% Debentures	112.50	56.25
	Trade payables	1,260	570
		1,372.5	**626.25**
C	Net assets taken over	4,627.5	3,873.75
D	Purchase consideration (W.N. 1)	5.64	4110
E	**Goodwill**	**1,012.5**	**236.25**

3. Issue of Debentures

Particulars	**Meet Ltd.**	**Preet Ltd.**
Existing debentures	₹ 1,80,00,000	₹ 90,00,000
Debenture interest (10%)	₹ 18,00,000	₹ 9,00,000
Amount of 16% debentures to be issued		
[₹ 18,00,000 x 100]/16	**₹ 1,12,50,000**	
[₹ 9,00,000 x 100]/16		**₹ 56,25,000**

Question 13

Sun and Neptune had been carrying on business independently. They agreed to amalgamate and form a new company Jupiter Ltd. with an authorised share capital of ₹ 4,00,000 divided into 80,000 equity shares of ₹ 5 each. On 31st March, 20X3 the respective information of Sun and Neptune were as follows:

	Sun (₹)	**Neptune (₹)**
Share capital	3,65,000	3,52,500
Current liabilities	5,97,000	1,80,250
Property, Plant and Equipment	6,35,000	3,65,000
Current assets	3,27,000	1,67,750

Additional Information:

(a) Revalued figures of non-current and Current assets were as follows:

	Sun (₹)	Neptune (₹)
Property, Plant and Equipment	7,10,000	3,90,000
Current Assets	2,99,500	1,57,750

(b) The debtors and creditors include ₹ 43,350 owed by Sun to Neptune.

(c) The purchase consideration is satisfied by issue of the following shares and debentures.

(i) 60,000 equity shares of Jupiter Ltd. to Sun and Neptune in proportion to the profitability of their respective business based on average net profit during the last three years which were as follows:

	Sun (₹)	Neptune (₹)
20X1 Profit	4,49,576	2,73,900
20X2 (Loss)/Profit	(2,500)	3,42,100
20X3 Profit	3,77,924	3,59,000

(ii) 15% debenture in Jupiter Ltd. at par to provide an income equivalent to 8% return business as on capital employed in their respective business as on 31st March, 20X3 after revaluation of assets.

You are required to:

(1) Compute the amount of debentures and shares to be issued to Sun and Neptune.

(2) A Balance sheet of Jupiter Ltd. showing the position immediately after amalgamation.

Answer

(1) Computation of Amount of Debentures and Shares to be issued

		Sun	Neptune
(i)	**Average Net Profit**		
	₹ (4,49,576 – 2,500 + 3,77,924)/3	2,75,000	
	₹ (2,73,900 + 3,42,100 + 3,59,000)/3		3,25,000
(ii)	**Equity Shares Issued**		
	(a) Ratio of distribution	275	325
	(b) Numbers (out of total 60,000 equity shares)	27,500	32,500
	(c) Amount: 27,500 shares of ₹ 5 each	**1,37,500**	
	32,500 shares of ₹ 5 each		**1,62,500**
(iii)	**Capital Employed (after revaluation of assets)**		
	Property, plant and equipment	7,10,000	3,90,000
	Current Assets	2,99,500	1,57,750
		10,09,500	5,47,750
	Less: Current Liabilities	(5,97,000)	(1,80,250)
		4,12,500	**3,67,500**
(iv)	**Debentures Issued**		
	8% Return on capital employed	33,000	29,400
	15% Debentures to be issued to provide equivalent income:		
	33,000 x 100/15	**2,20,000**	
	29,400 x 100/15		**1,96,000**

(2) Balance Sheet of Jupiter Ltd. As at 31st March 20X3 (after amalgamation)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	3,00,000
	(b)	Reserve and surplus	2	64,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	4,16,000
3		**Current liabilities**		
	(a)	Other current liabilities		7,33,900
		Total		**15,13,900**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i. Property, plant and Equipment		11,00,000
2		**Current Assets**		
	(a)	Other current assets		4,13,900
		Total		**15,13,900**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Authorized		
	80,000 Equity Shares of ₹ 5 each		**4,00,000**
	Issued and Subscribed		
	60,000 Equity Shares of ₹ 5 each		**3,00,000**
	(all the above shares are allotted as fully paid-up pursuant to a contract without payment being received in cash)		
2	**Reserve and Surplus**		
	Capital Reserve		**64,000**
3	**Long-term borrowings**		
	Secured Loans		
	15% Debentures		**4,16,000**

Working Notes:

	Sun	Neptune	Total
(1) Purchase Consideration			
Equity Shares Issued	1,37,500	1,62,500	3,00,000
15% Debentures Issued	2,20,000	1,96,000	4,16,000
	3,57,500	**3,58,500**	**7,16,000**
(2) Capital Reserve			
(a) Net Assets taken over			

	Property, plant & equipment	7,10,000	3,90,000	11,00,000
	Current Assets	2,99,500	1,57,750	4,57,250
		10,09,500	5,47,750	15,57,250
	Less: Current Liabilities	(5,97,000)	(1,80,250)	(7,77,250)
		4,12,500	**3,67,500**	**7,80,000**
(b)	Purchase Consideration	3,57,500	3,58,500	7,16,000
(c)	Capital Reserve [(a) – (b)]	**55,000**	**9,000**	**64,000**

Question 14

Intelligent Limited and Diligent Limited are carrying their business independently for last two years. Following financial information in respect of both the companies as at 31st March, 20X1 has been given to you:

Particulars	Intelligent Limited (₹)	Diligent Limited (₹)
Equity Shares Capital of ₹ 100 each	12,00,000	10,00,000
8% Preference shares of ₹ 100 each	3,00,000	2,00,000
Trade Payables	12,00,000	4,00,000
Retirement Gratuity Fund (Long Term)	3,00,000	2,00,000
Profit and Loss Account:		
Opening balance	4,50,000	2,50,000
Profit for the current year	2,50,000	1,50,000
Land and Buildings	10,00,000	8,00,000
Plant and Machinery	10,00,000	6,00,000
Inventories	7,00,000	4,00,000
Trade Receivables	6,00,000	3,00,000
Cash and Bank	4,00,000	1,00,000

On 1st April, 20X1, both the companies agreed to amalgamate and form a new company 'Genius Limited, with an authorized capital of ₹ 40,00,000 divided into 30,000 equity shares of ₹ 100 each and 10,000 8% preference shares of ₹ 100 each.

The amalgamation has to be carried out on the basis of following agreement:

(1) Assets of both the companies were to be revalued as follows:

Particulars	Intelligent Limited (₹)	Diligent Limited (₹)
Land and Buildings	11,00,000	8,50,000
Plant and Machinery	9,00,000	4,00,000
Inventories	6,00,000	3,00,000

(2) Trade payables of Intelligent Limited includes ₹ 1,00,000 due to Diligent Ltd. and the Trade receivables of Diligent Limited shows ₹ 1,00,000 receivables from Intelligent Limited.

(3) The purchase consideration is to be discharged in the following manner:

(i) Issue 22,000 Equity Shares of ₹ 100 each fully paid up in the proportion of the sum of their profitability in the preceding two financial years.

(ii) Preference shareholders of both companies are issued equivalent number of 8% Preference Shares of ₹ 100 each of Genius Limited at a price of ₹ 125 per share.

(iii) 12% debentures of ₹ 100 each in Genius Limited at par to provide an income equivalent to 10% return on the basis of net assets in their respective business as on 1st April, 2024 after revaluation of assets.

You are required to:

(a) Compute the amount of Shares & Debentures to be issued to Intelligent Limited and Diligent Limited.

(b) Prepare a Balance Sheet of Genius Limited showing the position immediately after amalgamation.

Answer

Computation of shares and debentures to be issued

		Intelligent Ltd.	Diligent Ltd.
Equity shares	22,000 x 7/11 = 14,000 (W.N. 1)	14,00,000	
	22,000 x 4/11 = 8,000 (W.N. 1)		8,00,000
Preference shares	(3,00,000 x 125/100)	3,75,000	
	(2,00,000 x 125/100)		2,50,000
Debentures	Refer (W.N. 3)	17,50,000	11,25,000
Total Purchase Consideration (i + ii + iii)		**35,25,000**	**21,75,000**

Balance Sheet of Genius Limited as at 1st April, 20X1 (after amalgamation)

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	27,00,000
	(b)	Reserve and surplus	2	1,25,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	28,75,000
	(b)	Other non-current liabilities	4	5,00,000
3		**Current liabilities**		
	(a)	Trade Payables (12,00,000 + 4,00,000 – 1,00,000)		15,00,000
		Total		**77,00,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	32,50,000
		ii Intangible asset	6	22,50,000
2		**Current Assets**		
	(a)	Inventories (6,00,000 + 3,00,000)		9,00,000
	(b)	Trade receivables (6,00,000 + 3,00,000 – 1,00,000)		8,00,000
	(c)	Cash and Cash equivalents		5,00,000
		Total		**77,00,000**

Notes to Accounts:

S. No.	Particulars	

1	**Share Capital**	
	Authorized Share Capital	
	a) Equity Share Capital	
	30,000 Equity Shares of ₹ 100 each	30,00,000
	b) Preference Share Capital	
	10% 10,000 Preference Shares ₹ 100 each	10,00,000
		40,00,000
	Issued, Subscribed & Paid-up Capital	
	a) Equity Share Capital	
	22,000 Equity Shares of ₹ 100 each	22,00,000
	(out of the above all shares are issued for consideration other than cash)	
	b) Preference Share Capital	
	10% 5,000 Preference Shares of ₹ 100 each	5,00,000
	(out of the above all shares are issued for consideration other than cash)	
		27,00,000
2	**Reserves & Surplus**	
	Securities Premium	**1,25,000**
3	**Long term borrowings**	
	12% Debentures of ₹ 100 each	**28,75,000**
4	**Other Non-current Liabilities**	
	Gratuity Fund	**5,00,000**
5	**Property, Plant & Equipment**	
	Land & Building (11,00,000 + 8,50,000)	19,50,000
	Plant & Machinery (9, 00,000 + 4,00,000)	13,00,000
		32,50,000
6	**Intangible Assets**	
	Goodwill	**22,50,000**

Working Notes:

1. Calculation of Ratio of Equity Shares

	Intelligent Ltd.	**Diligent Ltd**
Opening balance P&L	4,50,000	2,50,000
Profit for the current year	2,50,000	1,50,000
Total	**7,00,000**	**4,00,000**

The total profits = ₹ 7,00,000 + ₹ 4,00,000 = ₹ 11,00,000

No. of shares to be issued = 22,000 equity shares in proportion of preceding 2 years' profits. i.e. in 7:4.

2. Calculation of Net assets as on 31.3.20X1

Particulars	**Intelligent Ltd.**	**Diligent Ltd**
Assets (after revaluation):		
Land and Buildings	11,00,000	8,50,000

Plant & Machinery	9,00,000	4,00,000
Inventories	6,00,000	3,00,000
Trade Receivables	6,00,000	3,00,000
Cash & Cash Equivalents	4,00,000	1,00,000
Total (a)	**36,00,000**	**19,50,000**
Liabilities:		
Trade Payables	12,00,000	4,00,000
Gratuity Fund	3,00,000	2,00,000
Total (b)	**15,00,000**	**6,00,000**
Net Assets (a – b)	**21,00,000**	**13,50,000**

3. Calculation of 12% Debentures to be issued to Intelligent Ltd. and Diligent Ltd.

	Intelligent Ltd.	Diligent Ltd
Net assets (Refer working note)	21,00,000	13,50,000
10% return on Net assets	2,10,000	1,35,000
12% Debentures to be issued		
[2,10,000 x 100] = 17,50,000 of ₹ 100 each 12]	17,500	
[1,35,000 x 100 = 11,25,000 of ₹ 100 each 12]		11,250

4. Calculation of Goodwill / Capital Reserve

S. No.	Particulars	Intelligent Ltd.	Diligent Ltd.	
(i)	Purchase Consideration Paid	35,25,000	21,75,000	
(ii)	Less: Net Assets	(21,00,000)	(13,50,000)	
(iii)	**Goodwill**	**14,25,000**	**8,25,000**	**22,50,000**

Question 15

The following are summarized Balance Sheets of Well Ltd. and Nice Ltd. as at 31st March, 20X1: **(₹ in '000)**

Particulars			Notes	Nice Ltd.	Well Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	41,000	14,300
	(b)	Reserve and surplus	2	19,500	(7,350)
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	20,500	5,425
3		**Current liabilities**			
	(a)	Short-term borrowings		–	1,975
	(b)	Trade Payables		15,740	4,850
		Total		**96,740**	**19,200**
		Assets			
1		**Non-current assets**			

	(a)	PPE and intangible asset			
		i Property, plant and Equipment		62,550	16,380
	(b)	Non-current investment		22,500	–
		Current Assets			
	(a)	Inventories		300	870
	(b)	Trade receivables		6,590	1,950
	(c)	Cash and Cash equivalents		4,800	–
		Total		**96,740**	**19,200**

Notes to accounts **(₹ in '000)**

S. No.	Particulars	Nice Ltd.	Well Ltd.
1.	**Share Capital**		
	Equity Share Capital		
	Issued, subscribed & paid up capital		
	Equity Shares of ₹ 100 each	31,500	12,500
	Preference Share Capital		
	Issued, subscribed & paid up capital		
	9% Preference Shares of ₹ 100 each	9,500	
	10% Preference Shares of ₹ 100 each	–	1,800
		41,000	**14,300**
2.	**Reserves and Surplus**		
	Balance of Profit and Loss A/c	**19,500**	**(7,350)**
3.	**Long-term borrowings**		
	9% Debentures of ₹ 100 each	11,200	
	10% Debentures of ₹ 100 each		900
	Loan from Banks	9,300	4,525
		20,500	**5,425**

Details of Trade receivables and Trade payables are as under: **(₹ in '000)**

		Nice Ltd.	Well Ltd.
1.	**Trade receivables**		
	Debtors	6,200	1,800
	Bills Receivables	390	150
		6,590	**1,950**
2.	**Trade payables**		
	Creditors	14,750	4,400
	Bills Payables	990	450
		15,740	**4,850**

On 31.03.20X1, Nice Ltd. absorbs the business of Well Ltd. on the following terms:

- For every five equity shares held by the equity shareholders of Well Ltd., they receive three equity shares of Nice Ltd. issued at a premium of ₹ 20 per share.

- The 10% debenture-holders of Well Ltd. were to be allotted such 9% debentures in Nice Ltd. as would bring the same amount of interest.
- 10% Preference Shareholders of Well Ltd. are to be paid at 10% discount by issue of 9% Preference Shares at par in Nice Ltd.
- Banks agreed to waive off the loan of ₹ 270 thousand of Well Ltd.
- Expenses of Liquidation of Well Ltd. are to be reimbursed by Nice Ltd. ₹ 55 thousand.
- Inventory of Well Ltd. is taken over at 10% more than their book value by Nice Ltd.
- Debtors of Nice Ltd. include ₹ 215 thousand receivables from Well Ltd.
- Property, Plant, and Equipment of Well Ltd. are revalued at 20% above their book value.
- The remaining Assets and Liabilities of Well Ltd. are taken over at book value by Nice Ltd.

You are required to:

1. Record Journal Entries in the books of Nice Ltd.
2. Prepare Balance Sheet of Nice Ltd. after absorption as at 31st March, 20X1.

Answer

Journal Entries in the Books of Nice Ltd. **(₹ in '000)**

Date	Particulars		Debit	Credit
31.3. 20X1	Business Purchase Account	Dr.	10,620	
	To Liquidator of Well Ltd.			10,620
	(Consideration payable for the business taken over from Well Ltd.)			
	Property, Plant and Equipment (120% of ₹ 16,380)	Dr.	19,656	
	Inventory (110% of ₹ 870)	Dr.	957	
	Trade receivables	Dr.	1,950	
	Goodwill A/c (Balancing figure)	Dr.	137	
	To Trade payables			4,850
	To Debenture Holders Account			1,000
	To Loan from bank (4,525 – 270)			4,255
	To Short term borrowings			1,975
	To Business Purchase Account			10,620
	(Incorporation of various assets and liabilities taken over from Well Ltd. at agreed values and difference of net assets and purchase consideration debited to Goodwill A/c)			
	Liquidator of Well Ltd.	Dr.	10,620	
	To Equity Share Capital (75,000 x 100)			7,500
	To 9% Preference Share Capital			1,620
	To Securities premium (7,5000 x 20)			1,500
	(Discharge of consideration for Well Ltd.'s business)			
	Debenture holders A/c	Dr.	1,000	
	To 9% Debentures A/c			1,000
	(Being 9% debentures issued to 10% debenture holders)			

	Sundry Creditors of Well Ltd.	Dr.	215	
	To Sundry Debtors of Nice Ltd.			215
	(Cancellation of mutual owing)			
	Goodwill	Dr.	55	
	To Bank			55
	(Being liquidation expenses reimbursed to Well Ltd.)			

Working notes:

1. Calculation of purchase consideration

	₹	₹	Form
Preference shareholders:			
10% Preference shares	18,00,000		
Less: 10% discount	1,80,000		
16,200 x 100		16,20,000	9% Pref. shares
Equity shareholders: 1,25,000 x 3/5 x 120		90,00,000	Equity shares
		1,06,20,000	

2. Calculation of Issue of Debentures

Particulars	**₹**
Existing 10% debentures	9,00,000
Debenture interest (10%)	90,000
Amount of 9% debentures to be issued [(₹ 90,000 x 100)/9]	**10,00,000**

Balance Sheet of Nice Ltd. (After absorption) as at 31st March 20X1

Particulars			**Notes**	**(₹ in '000)**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	50,120
	(b)	Reserve and surplus	2	21,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	25,755
3		**Current liabilities**		
	(a)	Short term borrowings		1,975
	(b)	Trade Payables	4	20,375
		Total		**1,19,225**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	82,206
		ii Intangible Asset	6	192
	(b)	Non-current investments		22,500
2		**Current Assets**		

	(a)	Inventory	7	1,257
	(b)	Trade receivables	8	8,325
	(c)	Cash and Cash equivalents	9	4,745
		Total		**1,19,225**

Notes to accounts

S. No.	Particulars	(₹ in '000)	(₹ in '000)
1.	**Share Capital**		
	Equity share capital		
	Issued, subscribed and paid up		
	3,90,000 Equity shares of ₹ 100 each		39,000
	(75,000 shares are issued for consideration other than cash)		
	Preference Shares		
	Issued, subscribed and paid up		
	1,11,200 9% Preference Shares of ₹ 100 each [9,500 + 1,620]		11,120
	(16,200 shares are issued for consideration other than cash)		
			50,120
2.	**Reserves and Surplus**		
	Securities premium	1,500	
	Reserves and surplus	19,500	**21,000**
3.	**Long-term borrowings**		
	9 % Debentures (11,200 + 1,000)	12,200	
	Loan from bank (9,300 + 4255)	13,555	**25,755**
4.	**Trade Payable**		
	Nice Limited	15,740	
	Well Limited	4,850	
		20,590	
	Less: Inter Company holdings	(215)	**20,375**
5.	**Property, Plant and Equipment and Intangibles**		
	Property, Plant and Equipment	62,550	
	Acquired during the year	19,656	**82,206**
6.	**Intangibles assets**		
	Goodwill (137 + 55)		**192**
7.	**Inventories**	300	
	Acquired during the year	957	**1,257**
8.	**Trade receivables**	6,590	
	Acquired during the year (1,585 + 150)	1,735	**8,325**
9.	**Cash and Cash Equivalents**		
	Nice Limited	4,800	
	Less: Expenses on liquidation	(55)	**4,745**

Question 16

Galaxy Ltd. and Glory Ltd., are two companies engaged in the same business of chemicals. To mitigate competition, a new company Glorious Ltd, is to be formed to which the assets and liabilities of the existing companies, with certain exception, are to be transferred. The summarized Balance Sheet of Galaxy Ltd. and Glory Ltd. as at 31st March, 20X1 are as follows:

			Galaxy Ltd.	Glory Ltd.
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital		
		Equity shares of ₹ 10 each	8,40,000	4,55,000
	(b)	Reserve and surplus		
		General Reserve	4,48,000	40,000
		Profit & Loss A/c	1,12,000	72,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings:		
		Secured Loan: 6% Debentures	–	3,30,000
3		**Current liabilities**		
	(a)	Trade Payables	4,20,000	1,83,000
		Total	**18,20,000**	**10,80,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment:		
		Freehold property, at cost	5,88,000	3,36,000
		Plant & Machinery, at cost less dep.	1,40,000	84,000
		Motor vehicles, at cost less dep.	56,000	–
2		**Current Assets**		
	(a)	Inventory	3,36,000	4,38,000
	(b)	Trade receivables	4,62,000	1,18,000
	(c)	Cash at Bank	2,38,000	1,04,000
		Total	**18,20,000**	**10,80,000**

Assets and Liabilities are to be taken at book value, with the following exceptions:

(i) The Debentures of Glory Ltd. are to be discharged, by the issue of 8% Debentures of Glorious Ltd. at a premium of 10%.

(ii) Plant and Machinery of Galaxy Ltd. are to be valued at ₹ 2,52,000.

(iii) Goodwill is to be valued at: Galaxy Ltd. ₹ 4,48,000 Glory Ltd. ₹ 1,68,000

(iv) Liquidator of Glory Ltd. is appointed for collection from trade debtors and payment to trade creditors. He retained the cash balance and collected ₹ 1,10,000 from debtors and paid ₹ 1,80,000 to trade creditors. Liquidator is entitled to receive 5% commission for collection and 2.5% for payments. The balance cash will be taken over by new company.

You are required to:

(1) Compute the number of shares to be issued to the shareholders of Galaxy Ltd. and Glory Ltd, assuming the nominal value of each share in Glorious Ltd. is ₹ 10.

(2) Prepare Balance Sheet of Glorious Ltd., as on 1st April, 20X1 and also prepare notes to the accounts as per Schedule III of the Companies Act, 2013.

Answer

(1) Calculation of Purchase consideration or basis for issue of shares of Glorious Ltd.

	Galaxy Ltd.	Glory Ltd.
Goodwill	4,48,000	1,68,000
Freehold property	5,88,000	3,36,000
Plant and Machinery	2,52,000	84,000
Motor vehicles	56,000	–
Inventory	3,36,000	4,38,000
Trade receivables	4,62,000	–
Cash at Bank	2,38,000	24,000
	23,80,000	**10,50,000**
Less: Liabilities:		
6% Debentures	–	(3,30,000)
Trade payables	(4,20,000)	
Net Assets taken over	**19,60,000**	**7,20,000**
To be satisfied by issue of shares of Glorious. Ltd. @ ₹ 10 each	**1,96,000**	**72,000**

(2) Balance Sheet of Glorious Ltd. as at 1st April, 20X1

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	26,80,000
	(b)	Reserve and surplus	2	30,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	3,00,000
3		**Current liabilities**		
	(a)	Trade Payables		4,20,000
		Total		**34,30,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	13,16,000
		ii Intangible asset	5	6,16,000
2		**Current Assets**		
	(a)	Inventories	6	7,74,000
	(b)	Trade receivables		4,62,000

	(c)	Cash and Cash equivalents	7	2,62,000
		Total		**34,30,000**

Notes to accounts:

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Equity share capital		
	2,68,000 shares of ₹ 10 each		**26,80,000**
	(All shares are issued for consideration other than cash)		
2	**Reserves and surplus**		
	Securities Premium (10% premium on debentures)		**30,000**
3	**Long-term borrowings**		
	Secured:		
	8% 3,000 Debentures of ₹ 100 each		**3,00,000**
4	**Property Plant and Equipment**		
	Freehold property:		
	Galaxy Ltd.	5,88,000	
	Glory Ltd.	3,36,000	9,24,000
	Plant and Machinery:		
	Galaxy Ltd.	2,52,000	
	Glory Ltd.	84,000	3,36,000
	Motor vehicles – Galaxy Ltd.		56,000
			13,16,000
5	**Intangible assets**		
	Goodwill:		
	Galaxy Ltd.	4,48,000	
	Glory Ltd.	1,68,000	**6,16,000**
6	**Inventories**		
	Galaxy Ltd.	3,36,000	
	Glory Ltd.	4,38,000	**7,74,000**
7	**Cash and cash equivalents**		
	Galaxy Ltd.		
	Glory Ltd. (As per working note)	2,38,000	
		24,000	**2,62,000**

Working note: Calculation of cash balance of Glory Limited to be taken over by Glorious Limited

Cash balance as at 31st March, 20X1	1,04,000
Add: Received from debtors	1,10,000
	2,14,000
Less: paid to creditors	(1,80,000)
	34,000

Less: Commission to liquidators		
On Debtors @ 5%	5,500	
On Creditors @ 2.5%	4,500	(10,000)
		24,000

Note: It is assumed that the nominal value of debentures of Glory Ltd. is ₹ 100 each.

Question 17

Heera Ltd. and Rita Ltd. agreed to amalgamate their business. The scheme envisaged a share capital, equal to the combined capital of Heera Ltd. and Rita Ltd. for the purpose of acquiring the assets, liabilities and undertakings of the two companies in exchange for share in HR Ltd.

Heera Ltd. and Rita Ltd. make available following information as on 31st March, 20X4 (date of amalgamation):

	Heera Ltd. ₹	**Rita Ltd. ₹**
Property, plant and Equipment	7,20,000	10,80,000
Inventories	3,60,000	6,60,000
Trade receivables	4,80,000	7,80,000
Cash at Bank	3,00,000	–
Share Capital	6,00,000	8,40,000
Reserves	10,20,000	6,00,000
Bank Overdraft	–	5,40,000
Trade payables	2,40,000	5,40,000

The consideration was to be based on the net assets of companies as shown above but subject to an additional payment to Heera Ltd. for its goodwill to be calculated as its weighted average of net profits for the three years ended 31st March, 20X4. The weights for this purpose for the years 20X1-X2, 20X2-X3 and 20X3-X4 were agreed as 1, 2 and 3 respectively.

The profit had been:

20X1-X2 ₹ 3,00,000; 20X2-X3 ₹ 5,25,000 and 20X3-X4 ₹ 6,30,000.

The shares of HR Ltd. were to be issued to Heera Ltd. and Rita Ltd.at a premium and in proportion to the agreed net assets value of these companies.

In order to raise working capital, HR Ltd. proceeded to issue 72,000 shares of ₹ 10 each at the same rate of premium as issued for discharging purchase consideration to Heera Ltd. and Rita Ltd.

You are required to calculate the number of shares issued to Heera Ltd. and Rita Ltd. and prepare necessary journal entries in the books of HR Ltd.

Answer

Calculation of number of shares issued to Heera Ltd. and Rita Ltd.

Amount of Share Capital as per balance sheet	**₹**
Heera Ltd.	6,00,000
Rita Ltd.	8,40,000
	14,40,000
Share of Heera Ltd. = ₹ 14,40,000 x [21,60,000/ (21,60,000 + 14,40,000)]	

	= ₹ 8,64,000 or 86,400 shares
Securities premium	= ₹ 21,60,000 – ₹ 8,64,000 = ₹ 12,96,000
Premium per share	= ₹ 12,96,000/₹ 86,400 = ₹ 15
Issued 86,400 shares @ ₹ 10 each at a premium of ₹ 15 per share	
Share of Rita Ltd.	= ₹ 14,40,000 x [14,40,000/ (21,60,000 + 14,40,000)]
	= ₹ 5,76,000 or 57,600 shares
Securities premium	= ₹ 14,40,000 – ₹ 5,76,000 = ₹ 8,64,000
Premium per share	= ₹ 8,64,000/₹ 57,600 = ₹ 15
Issued 57,600 shares @ ₹ 10 each at a premium of ₹ 15 per share	

Journal Entries in the books of HR Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X4 March 31	Business purchase account	Dr.	36,00,000	
	To Liquidator of Heera Ltd. account			21,60,000
	To Liquidator of Rita Ltd. account			14,40,000
	(Being the amount of purchase consideration payable to liquidator of Heera Ltd. and Rita ltd. for assets taken over)			
	Goodwill	Dr.	5,40,000	
	PPE account	Dr.	7,20,000	
	Inventory account	Dr.	3,60,000	
	Trade receivables account	Dr.	4,80,000	
	Cash at bank	Dr.	3,00,000	
	To Trade payables account			2,40,000
	To Business purchase account			21,60,000
	(Being assets and liabilities of Heera Ltd. taken over)			
	PPE account	Dr.	10,80,000	
	Inventory account	Dr.	6,60,000	
	Trade receivables account	Dr.	7,80,000	
	To bank overdraft account			5,40,000
	To Trade payables account			5,40,000
	To Business purchase account			14,40,000
	(Being assets and liabilities of Rita Ltd. taken over)			
	Liquidator of Heera Ltd. Account	Dr.	21,60,000	
	To Equity share capital account (86,400 x ₹ 10)			8,64,000
	To Securities premium (86,400 x ₹ 15)			12,96,000
	(Being the allotment of shares as per agreement for discharge of purchase consideration)			
	Liquidator of Rita Ltd. account	Dr.	14,40,000	
	To Equity share capital account (57,600 x ₹ 10)			5,76,000
	To Securities premium (57,600 x ₹ 15)			8,64,000
	(Being allotment of shares as per agreement for discharge of PC)			

	Bank A/c	Dr.	18,00,000	
	To Equity share capital account (72,000 x ₹10)			7,20,000
	To Securities premium (72,000 x ₹ 15)			10,80,000
	(Equity share capital issued to raise working capital)			

Working Notes:

1. Calculation of goodwill of Heera Ltd.

Particulars	Amount	Weight	Weighted amount
20X1-X2	3,00,000	1	3,00,000
20X2-X3	5,25,000	2	10,50,000
20X3-X4	6,30,000	3	18,90,000
Total (a + b + c)	14,55,000	6	32,40,000
Weighted average = Total weighted amount/Total of weight = ₹ 32,40,000/6			
Goodwill = ₹ 5,40,000			

2. Calculation of Net assets

	Heera Ltd. (₹)	Rita Ltd. (₹)
Assets		
Goodwill	5,40,000	
PPE	7,20,000	10,80,000
Inventory	3,60,000	6,60,000
Trade receivable	4,80,000	7,80,000
Cash at bank	3,00,000	
Less: Liabilities		
Bank overdraft		5,40,000
Trade payables	2,40,000	5,40,000
Net assets or Purchase consideration	**21,60,000**	**14,40,000**

Question 18

The balance sheets of Truth Limited and Myth Limited as at 31.03.20X4 is given below. Myth Limited is to be amalgamated with Truth Limited from 1.04.20X4. The amalgamation is to be carried out in nature of purchase.

Particulars	Note No.	Truth Ltd. (₹)	Myth Ltd. (₹)
(1) Equity and Liabilities			
1. Shareholders' Funds			
(a) Share Capital	1	10,00,000	4,00,000
(b) Reserves and Surplus	2	11,35,000	4,13,000
2. Non-Current Liabilities	3	–	1,50,000
3. Current Liabilities	4	1,40,000	1,82,000
Total		**22,75,000**	**11,45,000**
(2) Assets			
1. Non-Current Assets			

	(a) Property, Plant & Equipment		15,75,000	6,80,000
	(b) Investments		1,87,500	1,00,000
2.	**Current Assets**	5	5,12,500	3,65,000
	Total		**22,75,000**	**11,45,000**

Note No.	Particulars	Truth Ltd (₹)	Myth Ltd (₹)
1	**Share Capital**		
	Equity shares of ₹ 10 each	**10,00,000**	**4,00,000**
2	**Reserves & Surplus**		
	General Reserve	5,05,000	2,30,000
	Profit & Loss A/c	4,45,000	1,58,000
	Export Profit Reserve	1,85,000	25,000
		11,35,000	**4,13,000**
3	**Non- Current Liabilities**		
	14% Debentures	–	**1,50,000**
4	**Current Liabilities**		
	Trade Payables	90,000	1,42,000
	Other Current Liabilities	50,000	40,000
		1,40,000	**1,82,000**
5	**Current Assets**		
	Inventory	2,15,000	85,000
	Trade Receivables	2,02,500	1,75,000
	Cash and Cash equivalents	95,000	1,05,000
		5,12,500	**3,65,000**

Truth Limited would issue 12% debentures to discharge the claim of the debenture holders of Myth Limited so as to maintain their present annual interest income. Non-trade investment, which constitute 80% of their respective total investments yielded income of 20% to Truth Limited and 15% to Myth Limited. This income is to be deducted from profits while computing average profit for the purpose of calculating goodwill. Profit before tax of both the companies during the last 3 years were as follows:

	Truth Ltd (₹)	Myth Ltd (₹)
20X1-20X2	8,20,000	2,55,000
20X2-20X3	7,45,000	2,15,000
20X3-20X4	6,04,000	2,14,000

Goodwill is to be calculated on the basis of simple average of three years profit by using Capitalization method taking 18% as normal rate of return. Ignore taxation. Purchase consideration is to be discharged by Truth Limited on the basis of intrinsic value per share. Prepare Balance Sheet of Truth Limited after amalgamation.

Answer

Balance Sheet of Truth Ltd. (after amalgamation with Myth Ltd.) as at 1.4.20X4

Particulars			Notes	₹
		Equity and Liabilities		

1		**Shareholders' funds**		
	(a)	Share capital	1	13,13,750
	(b)	Reserve and surplus	2	20,76,250
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	1,75,000
3		**Current liabilities**		
	(a)	Trade Payables	4	2,32,000
	(b)	Other current liabilities	5	90,000
		Total		**38,87,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	6	22,55,000
		ii Intangible assets (Goodwill) [WN 1]		4,67,000
	(b)	Non-current investments	7	2,87,500
2		**Current Assets**		
	(a)	Inventories (2,15,000 + 85,000)		3,00,000
	(b)	Trade receivables (2,02,500 + 1,75,000)		3,77,500
	(c)	Cash and Cash equivalents (95,000 + 1,05,000)		2,00,000
		Total		**38,87,000**

Notes to Accounts

S. No.	Particulars	(₹)	(₹)
1	**Share Capital**		
	1,31,375 Equity Shares of ₹ 10 each [1,00,000 + 31,375]		**13,13,750**
	(31,375 shares were issued to the vendors other than for cash)		
2	**Reserves and surplus**		
	General Reserve		5,05,000
	Profit and Loss A/c		4,45,000
	Securities Premium [31,375 x 30]		9,41,250
	Export profit reserve	1,85,000	
	Add: Balance of Myth Ltd.	25,000	2,10,000
	Amalgamation Adjustment Reserve		(25,000)
			20,76,250
3	**Long Term Borrowings**		
	12% Debentures issued to Myth Ltd.		**1,75,000**
4	**Trade payables**		
	Trade payables	90,000	
	Add: Taken over	1,42,000	**2,32,000**
5	**Other Current Liabilities**		
	Truth Ltd.	50,000	

	Myth Ltd.	40,000	**90,000**
6	**Property, Plant & Equipment**		
	Truth Ltd.	15,75,000	
	Myth Ltd.	6,80,000	**22,55,000**
7	**Investment**		
	Truth Ltd.		1,87,500
	Myth Ltd.		1,00,000
			2,87,500

Working Notes:

(1) Valuation of Goodwill

(i) Capital Employed

	Truth Ltd. (₹)		**Myth Ltd. (₹)**	
Assets as per Balance Sheet		22,75,000		11,45,000
Less: Non-trade Investment		(1,50,000)		(80,000)
		21,25,000		**10,65,000**
Less: Liabilities:				
14% Debentures	–		1,50,000	
Trade payables	90,000		1,42,000	
Other current liabilities	50,000	(1,40,000)	40,000	(3,32,000)
Capital Employed		**19,85,000**		**7,33,000**

(ii) Average profit before tax

	Truth Ltd.	**Myth Ltd.**
20X1-20X2	8,20,000	2,55,000
20X2-20X3	7,45,000	2,15,000
20X3-20X4	6,04,000	2,14,000
Total profit of 3 years (a)	21,69,000	6,84,000
Simple Average [(a)/3]	7,23,000	2,28,000
Less: Non-trading income		
Truth Ltd.: 1,87,500 x 80% x 20%	(30,000)	
Myth Ltd.: 1,00,000 x 80% x 15%		(12,000)
	6,93,000	**2,16,000**

(iii) Goodwill

	Truth Ltd.	**Myth Ltd.**
Capitalised value of average profit		
(6,93,000/18) x 100	38,50,000	
(2,16,000/18) x 100		12,00,000
Less: Capital Employed [From (i) above]	(19,85,000)	(7,33,000)
Goodwill	**18,65,000**	**4,67,000**

(2) Intrinsic Value per Share

	Truth Ltd. (₹)		Myth Ltd. (₹)	
Goodwill [W.N. 1]	18,65,000		4,67,000	
Other Assets	22,75,000	41,40,000	11,45,000	16,12,000
Less: Liabilities				
12% Debentures	–		1,75,000	
Trade payables	90,000		1,42,000	
Other current liabilities	50,000	(1,40,000)	40,000	(3,57,000)
Net Assets		**40,00,000**		**12,55,000**
Intrinsic value per share [Net Assets/No. of Shares]		40,00,000/1,00,000 **= ₹ 40**		12,55,000/40,000 **= ₹ 31.375**

*1,50,000 x 14%/12%]

(3) Purchase Consideration & manner of its discharge

Intrinsic Value of Myth Ltd.	[a]	₹ 31.375 per share
No. of shares	[b]	40,000 shares
Purchase Consideration	[c = a x b]	₹ 12,55,000
Intrinsic Value of Truth Ltd.	[d]	₹ 40 per share
No. of shares to be issued	[c/d]	31,375 shares

Question 19

The summarized Balance Sheet of A Ltd. and B Ltd. as at 31st March, 20X1 are as under:

	A Ltd. (in ₹)	B Ltd. (in ₹)
Equity shares of ₹ 10 each, fully paid up	30,00,000	24,00,000
Securities Premium Account	4,00,000	
General Reserve	6,20,000	5,00,000
Profit and Loss Account	3,60,000	3,20,000
Retirement Gratuity Fund Account	1,00,000	
10% Debentures	20,00,000	
Unsecured short-term loan (including loan from A Ltd.)	6,00,000	8,20,000
Trade Payables	1,00,000	3,40,000
	71,80,000	**43,80,000**
Land and Buildings	28,00,000	21,00,000
Plant and Machinery	20,00,000	7,60,000
Long term advance to B Ltd.	2,20,000	
Inventories	10,40,000	7,00,000
Trade Receivables	8,20,000	5,20,000
Cash and Bank	3,00,000	3,00,000
	71,80,000	**43,80,000**

B Ltd. is to declare and pay ₹ 1 per equity share as dividend, before the following amalgamation takes place with Z Ltd.

Z Ltd. was incorporated to take over the business of both A Ltd. and B Ltd.

(a) The authorized share capital of Z Ltd. is ₹ 60 lakhs divided into ₹ 6 lakhs equity shares of ₹ 10 each.

(b) As per Registered Valuer the value of equity shares of A Ltd. is ₹ 18 per share and of B Ltd. is ₹ 12 per share respectively and agreed by respective shareholders of the companies.

(c) 10% Debentures of A Ltd. to be issued 12% Debentures of Z Ltd. at par in consideration of their holdings.

(d) A contingent liability of A Ltd. of ₹ 2,00,000 is to be treated as actual liability.

(e) Liquidation expenses including Registered Valuer fees of A Ltd.₹ 50,000 and B Ltd. ₹ 30,000 respectively to be borne by Z Ltd.

(f) The shareholders of A Ltd. and B Ltd. is to be paid by issuing sufficient number of fully paid-up equity shares of ₹ 10 each at a premium of ₹ 10 per share.

Assuming amalgamation in the nature of purchase, you are required to pass the necessary journal entries (narrations not required) in the books of Z Ltd. and Prepare Balance Sheet of Z Ltd. immediately after amalgamation of both the companies.

Answer

Journal Entries in the books of Z Ltd

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Business Purchase A/c	Dr.	54,00,000	
	To Liquidator of A Ltd. A/c			54,00,000
	Land & Building A/c	Dr.	28,00,000	
	Plant & Machinery A/c	Dr.	20,00,000	
	Long term advance to B Ltd. A/c	Dr.	2,20,000	
	Inventories A/c	Dr.	10,40,000	
	Trade Receivables A/c	Dr.	8,20,000	
	Cash and Bank A/c	Dr.	3,00,000	
	Goodwill A/c	Dr.	12,20,000	
	To Retirement Gratuity Fund A/c			1,00,000
	To Liability for Debentures A/c			20,00,000
	To Unsecured Loan A/c			6,00,000
	To Trade Payables A/c			1,00,000
	To Other liabilities A/c			2,00,000
	To Business Purchase A/c			54,00,000
	Liability for Debentures A/c	Dr.	20,00,000	
	To 12% Debentures A/c			20,00,000
	Liquidator of A Ltd. A/c	Dr.	54,00,000	
	To Equity Share Capital A/c			27,00,000
	To Securities Premium A/c			27,00,000
	Business Purchase A/c	Dr.	28,80,000	
	To Liquidator of B Ltd. A/c			28,80,000
	Land and Building A/c	Dr.	21,00,000	
	Plant & Machinery A/c	Dr.	7,60,000	

	Inventories A/c	Dr.	7,00,000	
	Trade Receivables A/c	Dr.	5,20,000	
	Cash and Bank (less dividend) A/c	Dr.	60,000	
	To Unsecured Loan A/c			8,20,000
	To Trade Payables A/c			3,40,000
	To Business Purchase A/c			28,80,000
	To Capital Reserve A/c			1,00,000
	Liquidators of B Ltd. A/c	Dr.	28,80,000	
	To Equity Share Capital A/c			14,40,000
	To Securities Premium A/c			14,40,000
	Unsecured Loans A/c	Dr.	2,20,000	
	To Long term Advance to B Ltd. A/c			2,20,000
	Capital Reserve A/c	Dr.	1,00,000	
	To Cash and Bank A/c (Liquidation expenses)			80,000
	To Goodwill A/c			20,000

Balance Sheet of Z Ltd. as at 31st March, 20X1

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	41,40,000
	(b)	Reserve and surplus	2	41,40,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	20,00,000
	(b)	Long-term provisions	4	1,00,000
3		**Current liabilities**		
	(a)	Short-term borrowings	5	12,00,000
	(b)	Trade Payables	6	4,40,000
	(c)	Other current liability		2,00,000
		Total		**1,22,20,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	7	76,60,000
		ii Intangible asset (Goodwill 12,20,000 – 20,000)		12,00,000
2		**Current Assets**		
	(a)	Inventories	8	17,40,000
	(b)	Trade receivables	9	13,40,000
	(c)	Cash and Cash equivalents	10	2,80,000
		Total		**1,22,20,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Authorized Share Capital		
	6,00,000 Equity shares of ₹ 10 each		**60,00,000**
	Issued: 4,14,000 Equity shares of ₹ 10 each		**41,40,000**
	(all these shares were Issued for consideration other than cash)		
2	**Reserves and surplus**		
	Securities Premium Account (4,14,000 shares × ₹ 10)		**41,40,000**
3	**Long-term borrowings**		
	12% Debentures		**20,00,000**
4	**Long term Provisions**		
	Retirement gratuity fund		**1,00,000**
5	**Short-term borrowings**		
	Unsecured loans:		
	A Ltd.	6,00,000	
	B Ltd.	8,20,000	
		14,20,000	
	Less: Mutual	(2,20,000)	**12,00,000**
6	**Trade payables**		
	A Ltd.	1,00,000	
	B Ltd.	3,40,000	**4,40,000**
7	**Property, plant & equipment**		
	Land and Building		
	A Ltd.	28,00,000	
	B Ltd.	21,00,000	49,00,000
	Plant and Machinery:		
	A Ltd.	20,00,000	
	B Ltd.	7,60,000	27,60,000
			76,60,000
8	**Inventories**		
	A Ltd.	10,40,000	
	B Ltd.	7,00,000	**17,40,000**
9	**Trade receivables**		
	A Ltd.	8,20,000	
	B Ltd.	5,20,000	**13,40,000**
10	**Cash & cash equivalents**		
	A Ltd.	3,00,000	
	B Ltd. [3,00,000 – 2,40,000 (dividend)]	60,000	
		3,60,000	
	Less: Liquidation Expenses	(80,000)	**2,80,000**

Working Note:

Calculation of amount of Purchase Consideration

	A Ltd.	B Ltd.
Existing shares	3,00,000	2,40,000
Agreed value per share	₹ 18	₹ 12
Purchase consideration	54,00,000	28,80,000
No. of shares to be issued of ₹ 20 each (including ₹ 10 premium)	2,70,000	1,44,000
Face value of shares at ₹ 10	27,00,000	14,40,000
Premium of shares at ₹ 10	27,00,000	14,40,000

Question 20

The following are the Balance Sheets of P Ltd. and Q Ltd. as at 31st March, 20X1:

Particulars			Notes	₹ P Ltd	₹ Q Ltd
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	8,00,000	4,00,000
	(b)	Reserve and surplus		3,00,000	2,00,000
2		**Non-current liabilities**			
	(a)	Long-term borrowings	2	2,00,000	1,50,000
3		**Current liabilities**			
	(a)	Trade Payables		2,50,000	1,50,000
		Total		**15,50,000**	**9,00,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		7,00,000	2,50,000
	(b)	Non-current investment		80,000	80,000
2		**Current Assets**			
	(a)	Inventories		2,40,000	3,20,000
	(b)	Trade receivables		4,20,000	2,10,000
	(c)	Cash and Cash equivalents		1,10,000	40,000
		Total		**15,50,000**	**9,00,000**

Notes to accounts

		P Ltd.	Q Ltd.
1	**Share Capital**		
	Equity shares of ₹ 10 each	6,00,000	3,00,000
	10% Preference Shares of ₹ 100 each	2,00,000	1,00,000
		8,00,000	**4,00,000**
2	**Long term borrowings**		